

Divergences

Cheat Sheet



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Bullish Divergences

They signify reversal. After an extended downtrend when price comes to an important support level if there are bullish divergences price is expected to reverse (no certainties). So, price make a lower low and oscillator makes a higher low. Confluence!



Explained in Contenders Divergences stream on 9. 10. 2019 (23:59)



Price = lower low
Oscillator = higher low

When one sees bullish divergences on a chart after an extended downtrend and coming to an important support level it is sign the selling pressure is lessening and there may be a reversal in the current downtrend.



Bearish Divergences

They signify reversal. After an extended uptrend when price comes to an important resistance level if there are bearish divergences price is expected to reverse (no certainties). So, price make a higher high and oscillator makes a lower high. Confluence!

Price = higher high
Oscillator = lower high

When one sees bearish divergences on a chart after an extended uptrend and coming to an important resistance level it is sign the buying is drying up and there may be a reversal in the current uptrend.



[Explained in Contenders Divergences stream on 9. 10. 2019 \(28:48\)](#)



Hidden Bullish Divergences

They signify continuation. When there are hidden bullish divergences in an uptrend going onto a strong support there is a 'buy the dip' opportunity. So, price makes a higher low, oscillator makes lower low.

Price = higher low

Oscillator = lower low

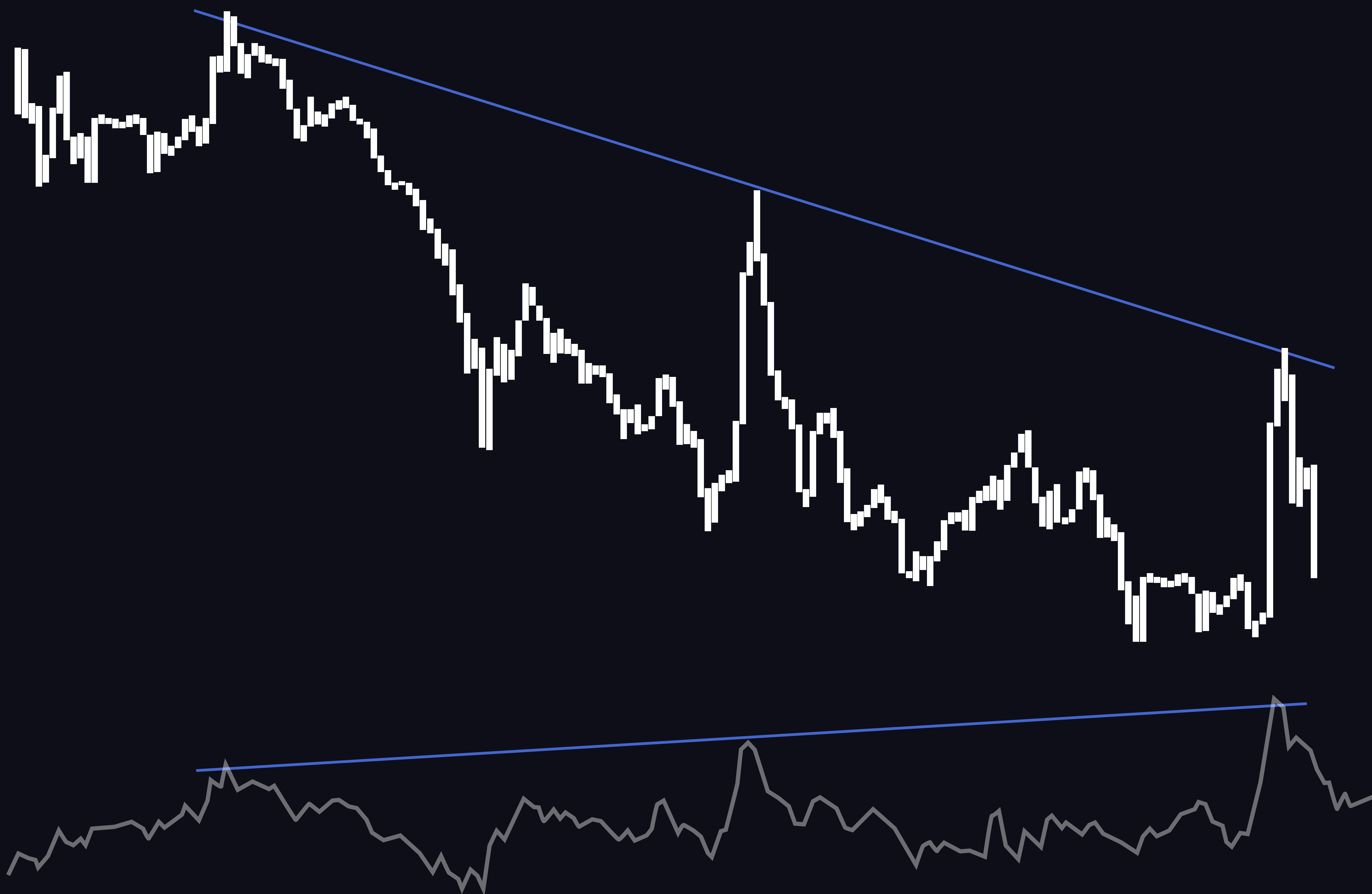
When one sees hidden bullish divergences in an established uptrend going onto a strong support it provides a good opportunity to buy the dip. provides a good opportunity to buy the dip.



Explained in Contenders Divergences stream on 9. 10. 2019 (31:50)



Hidden Bearish Divergences

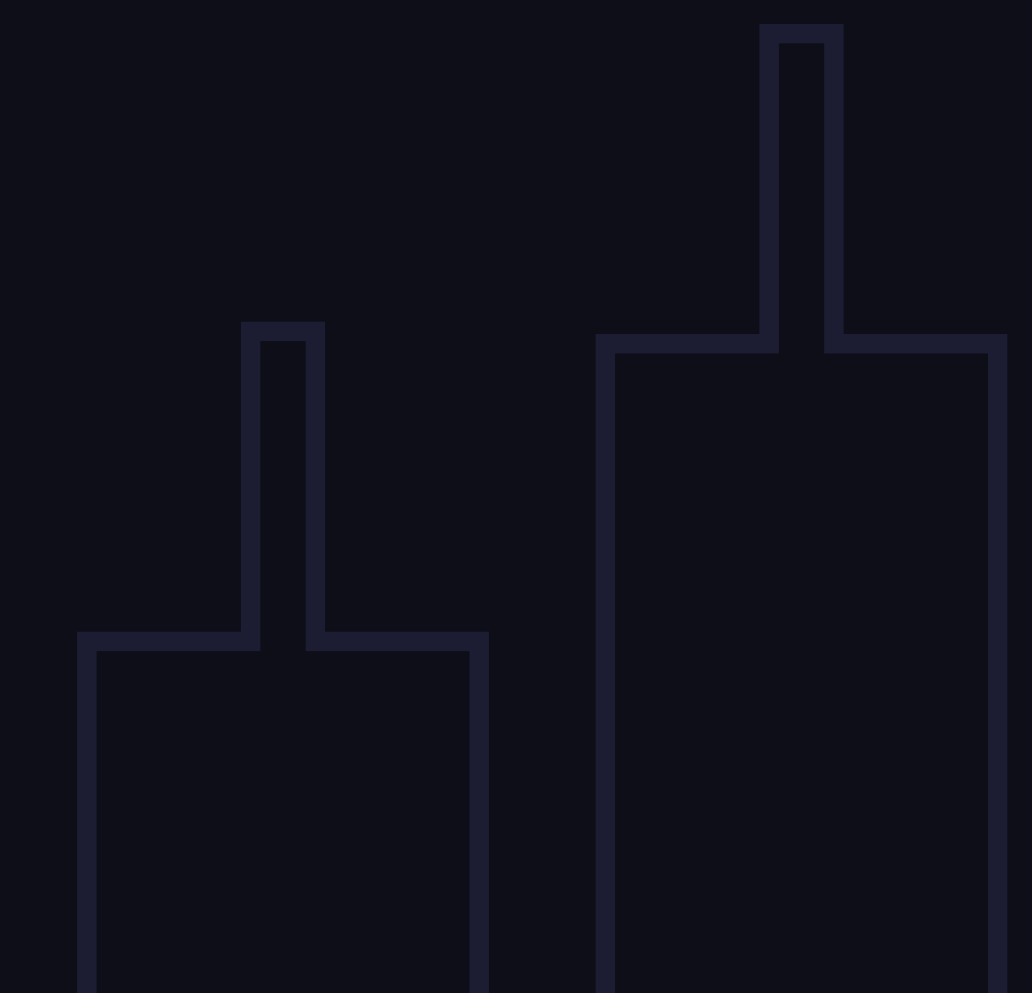


They signify continuation. When there are hidden bearish divergences in a downtrend going onto a strong resistance there is a 'sell the rally' opportunity. So, price makes a lower high, oscillator makes higher high.

Price = lower high

Oscillator -higher high

When one sees. Hidden bearish divergences in an established downtrend going onto a strong resistance it provides a good opportunity to short the rally.



Explained in Contenders Divergences stream on 9. 10. 2019 (35:05)



Divergence Class Types

Double top on price
(candle closes), RSI lower high
= **Class B bearish divergences.**



Price makes a new high but
RSI makes a lower high
= **Class A bearish divergences.**



Price makes a new high but RSI stays at
the same high
= **Class C bearish divergence.**



An example of different types of divergences. They can be useful on LTF when you are scalping – just do not expect too much of them. Also, it is impossible to predict divergences.



Explained in Contenders Divergences
stream on 9. 10.2019 (35:05)